

Carolina Fund Stock Pitch Competition

Hershey (NYSE: HSY)



Company Background

The Hershey Company is an American food manufacturing company founded in 1894 by Milton Hershey. The company engages in the production of confectionery products and pantry goods across the United States and internationally. The company is broken into 3 segments: North America Confectionary, North America Salty Snacks, and International. Hershey's largest segment, North America Confectionary, which consists of chocolate and other candy-related related products, accounted for 81.71% of the company's total revenue in 2023.

Catalyst

We are pitching a short on Hershey (NYSE: HSY). We predict lower than street-estimated growth rates for Hershey due to decreased demand for chocolate goods in the confectionery market. Issues in the agricultural production of cocoa and palm oil are expected to remain prevalent for as much as the next five years. Price increases due to rising ingredient costs will further exacerbate the decreased demand resulting in lower future revenue and lower gross profit margins than street estimates.

Headwind 1 – Cocoa Production Issues

Agricultural production of cocoa in the Ivory Coast, which is responsible for 60% of the world's cocoa output, is currently being plagued by over-farming and adverse weather conditions resulting in crop diseases. 2024 3rd and 4th quarter yields are expected to be between 25% to 30% lower than in 2023. Lindt & Sprungli, a Swiss chocolate manufacturer that accounts for 14.5% of total industry revenue, expects further price increases to persist past 2025 if cocoa prices remain at current levels. Hershey has 70% of its future hedging set to expire in 2024. Cocoa futures have reached an all-time high at \$10,000, or a 250% increase from March 2023. The current cocoa future price of \$9,740 will severely limit Hershey's ability to effectively hedge against the expected long-term price increase in cocoa. To further demonstrate the severity of these price increases, a Nestle spokesperson publicized that the price of their cocoa-based products increased 7.2% in 2023 and that prices measured annually at Easter have gone up 38% since 2019. The increase in chocolate ingredients is expected to worsen well past the period in which Hershey is adequately protected against commodity rate risk.

Headwind 2 – Palm Oil Production Concerns

In addition to Hershey's cocoa issues, palm oil production is looking pessimistic for the 2024 harvest in Indonesia. 75% of Hershey's palm oil outsourcing is in Indonesia and with severe weather vulnerability and aging tree and replanting issues, Indonesia is going to experience a sustained decline in its overall output of Palm oil. With this pressure on Indonesia, Malaysia will have to produce higher crop yields at a time during internal labor issues leaving a dire situation for palm oil manufacturing during the 2024 season and beyond.

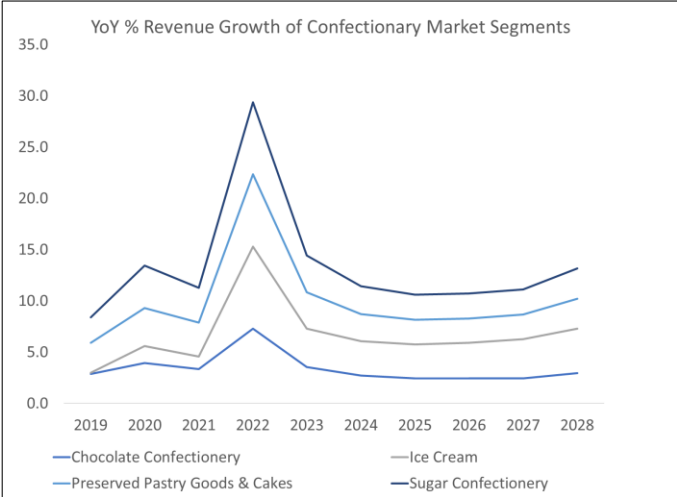
Headwind 3 - Dwindling Demand for Chocolate in the Confectionary Market

Demand for chocolate has been slowing compared to other non-chocolate sweets. Dollar sales for non-chocolate and gummy products saw a 12.1% increase in 2023, doubling the growth rate of 5.8% for chocolate. To make matters worse, unit sales for chocolate decreased 5.3% during the same period. This indicates a high price elasticity for chocolate, resulting in less customer demand due to elevated prices.

12 Month Base Target	
FY 2024 EPS	\$9.59
Target P/E	19.2x
1Y Target Price	184.19
% Return	-7%

Rating	Short
Price (03/29/24)	196.68
Price Target	184.19

Key Data	
Symbol	HSY (NYSE)
52-Week Range	\$178.82 - \$276.88



Key Findings

- Hershey recently underperformed Wall Street's predictions of 2% growth in Q4 of 2023 with only an observed 0.2% growth increase.
- Hershey has dropped 2% in adjusted operating income the YOY 4th due to “Increased labor costs” and “Offset price realization and productivity.”
- Gross profit margin is up 1.6% from 2022 to 2023.

Discounted Cash Flow Model		Historical Period						Projection Period				
as of 3/27/24												
USD in Millions		2018	2019	2020	2021	2022	2023	2024E	2025E	2026E	2027E	2028E
Revenue	\$	7,791	\$ 7,986	\$ 8,150	\$ 8,971	\$ 10,419	\$ 11,165	\$ 11,612	\$ 12,076	\$ 12,559	\$ 13,061	\$ 13,584
% Growth			2.5%	2.0%	10.1%	16.1%	7.2%	4.0%	4.0%	4.0%	4.0%	4.0%
Cost Of Goods Sold		4,204	4,364	4,446	4,918	5,921	6,167	6,502	6,883	7,159	7,314	7,607
% Margin		54%	55%	55%	55%	57%	55%	56%	57%	57%	56%	56%
Gross Profit		3,587	3,622	3,703	4,054	4,499	4,998	5,109	5,193	5,400	5,747	5,977
% Margin		46.0%	45.4%	45.4%	45.2%	43.2%	44.8%	44.0%	43.0%	43.0%	44.0%	44.0%
Operating Expenses		1,856	1,925	1,899	1,999	2,247	2,466	2,654	2,761	2,871	2,986	3,105
% Margin		23.8%	24.1%	23.3%	22.3%	21.6%	22.1%	22.9%	22.9%	22.9%	22.9%	22.9%
EBIT		1,730	1,697	1,808	2,055	2,251	2,532	2,455	2,432	2,529	2,761	2,872
% Margin		22.2%	21.3%	22.2%	22.9%	21.6%	22.7%	21.1%	20.1%	20.1%	21.1%	21.1%
Tax Expense		294	287	266	360	320	362	351	348	362	395	411
Tax Rates		17.0%	16.9%	14.7%	17.5%	14.2%	14.3%	14.3%	14.3%	14.3%	14.3%	14.3%
Tax Adjusted EBIT		1,436	1,410	1,542	1,695	1,932	2,170	2,104	2,084	2,168	2,366	2,461
Plus: Depreciation & Amortization		286	291	295	315	379	420	423	440	457	476	495
Less: Capital Expenditures		329	318	442	496	520	771	601	625	650	676	703
Less: Inc. (Dec.) in NWC		(105)	288	978	(1,333)	(390)	540	131	136	142	147	153
Unlevered Free Cash Flow								1,795	1,763	1,833	2,019	2,099
WACC	10.56%											
Present Value of Free Cash Flow							\$ 1,623	\$ 1,442	\$ 1,357	\$ 1,351	\$ 1,271	

Peptuity Growth Method

WACC	10.56%
Perpetuity Growth Rate	3.00%
Disocunted Terminal Value	\$24,413
Enterprise Value	\$31,456
Net Debt	4,724
Shares Outstanding	204
Implied Share Price	\$177.40

Exit Multiple

EBIT (2028E)	2,872
Exit Multiple	16.10x
Exit Multiple EV	\$32,842
Net Debt	4,724
Shares Outstanding	204
Implied Share Price	\$184.19

Weighted Average Cost of Capital

Cost of Equity	7.40%
Cost of Debt	4.70%
Weight of Equity	88.10%
Weight of Debt	11.90%
Tax Rate	14.28%
WACC	7.08%